

stock price of this investment banking powerhouse rose from \$12 per share to \$165. But the firm's risky and largely illiquid investment portfolio, along with its high leverage (assets of about 35 times capital), brought Bear to the edge of bankruptcy. The Federal Reserve was required to guarantee the value of much of the portfolio before JPMorgan Chase agreed to buy the company for a price of \$2 per share (ultimately raised to \$10)—measured from the high, a loss of some \$25 billion of shareholder capital. But Mr. Cayne's millions of dollars of compensation had already been paid. (While his investment in Bear, once valued at \$1 billion, had dropped to \$60 million when he sold his shares in March 2008, probably most of us believe that \$60 million is an awful lot of money, especially given the catastrophic loss of capital by other shareholders and the devastating loss of jobs by thousands of Bear employees who played no role in the firm's demise.)

To paraphrase Winston Churchill, “Never has so much been paid to so many for so little” in the way of accomplishment.

Heads I Win; Tails You Lose

As rich as our financial kings have become over the past few decades—and as much unjustified cost as they have extracted from investors—their wealth pales in comparison with the wealth accumulated by our most successful hedge fund managers. In 2007 alone, the 50 highest-paid hedge fund managers together earned \$29 billion (yes, *billion*). If you didn't make \$360 million in that single year, you didn't even crack the top 25. Yes, for high-stakes gamblers, speculation—whether in Wall Street, at the race track, or in Las Vegas—can produce huge speculative rewards.

According to the *New York Times*, the highest-paid hedge fund manager for 2007 was John Paulson, who took down a cool \$3.7 billion. It is said that his firm, Paulson & Company, made more than \$20 billion for his clients by betting against certain mortgage-backed